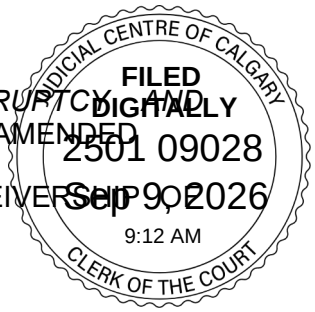
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|---|---|
| COURT FILE NUMBER | 2501-09028 |
| COURT | COURT OF KING'S BENCH OF ALBERTA |
| JUDICIAL CENTRE | CALGARY |
| | IN THE MATTER OF THE *BANKRUPTCY AND INSOLVENCY ACT,* RSC, 1985, C B-, AS AMENDED |
| | AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD. |
| APPLICANT | UCAPITAL – ULOAN SOLUTIONS INC. |
| RESPONDENT | 2755857 ALBERTA LTD. |
| DOCUMENT | **APPLICATION** |





ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT

MILLER THOMSON LLP
Barristers and Solicitors
525-8th Avenue SW, 43rd Floor
Calgary, AB, Canada T2P 1G1

Attention: James W. Reid / Pavin Takhar
Telephone: 403-298-2418 / 403-298-2432
Email: jwreid@millerthomson.com/ ptakhar@millerthomson.com
File No. 0289127.0002


**NOTICE TO RESPONDENT(S):**

This application is made against you. You are a respondent.

You have the right to state your side of this matter before the application judge / justice.

To do so, you must be in Court when the application is heard as shown below:

| | |
|---|---|
| Date | September 16, 2026 |
| Time | 10:00 a.m. |
| Where | Calgary Courts Centre |
| Before Whom | The Honourable Justice M. A. Marion |

Go to the end of this document to see what else you can do and when you must do it.

**Remedy claimed or sought:**

1. The Applicant, Alvarez & Marsal Canada Inc. ("**A&M**"), in its capacity as Court-appointed receiver and manager (the "**Receiver**"), of the undertakings, properties and assets of 2755857 Alberta Ltd. ("**ResidualCo**") seeks:

   (a) an Order substantially in the form attached as **Schedule "A"**, among other things:

      (i) declaring service of this Application (and all supporting materials thereto) to be good and sufficient and, if necessary, abridging the time for service of this Application to the time actually given, such that this Application is properly returnable on the date on which it is heard;

      (ii) determining whether the Revised RVO (defined herein) had any impact on the eligibility of former employees of Cleo (defined herein) for entitlement to payments under the *Wage Earner Protection Program Act* (Canada) ("**WEPPA**");

      (iii) approving the proposed distributions of the Receiver as set out in the in the Fourth Report of the Receiver, dated September 8, 2026 (the "**Fourth Report**");

      (iv) approving the fees and disbursements of the Receiver and its legal counsel, Miller Thomson LLP ("**Miller Thomson**"), including the Forecast Fees and Costs (defined herein), as outlined in the Fourth Report;

      (v) approving the Receiver's actions, activities and conduct since the Third Report and throughout the Receivership Proceedings, including the Final Statement of Receipts and Disbursements (the "**Final Statement of Receipts and Disbursements**") and the Final Cash Flow Forecast as set out in the Fourth Report;

      (vi) discharging the Receiver upon the filing of a certificate confirming the completion of the Receiver's remaining obligations (the "**Discharge Certificate**") and, upon the discharge of the Receiver (the "**Discharge**"):

(A) releasing the Receiver from liability for any acts or omissions on its part save and except for any liability arising out of any fraud, gross negligence, or willful misconduct; and

(B) staying any action or proceedings against the Receiver without prior leave of this Honourable Court on notice to the Receiver;

(b) granting such further and other relief as counsel may request and this Honourable Court may deem appropriate.

2. Capitalized terms used herein that are not otherwise defined have the meaning ascribed to them in the Fourth Report.

**Grounds for making this Application:**

Background

3. On June 2, 2025, the Court granted a receivership order (the "**Receivership Order**"), whereby, effective June 3, 2025, the Receiver was appointed receiver and manager of Cleo Energy Corp. ("**Cleo**") pursuant to section 243(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 (the "**BIA**"), and section 13(2) of the *Judicature Act*, RSA 2000 c J-2 (the "**Receivership Proceedings**").

4. Prior to the granting of the Receivership Order, on December 8, 2024, Cleo filed a Notice of Intention to Make a Proposal pursuant to section 50.4(1) of the BIA (the "**NOI Proceedings**"). A&M acted as Proposal Trustee (in such capacity, the "**Proposal Trustee**") during the NOI Proceedings.

5. During the NOI Proceedings, this Honourable Court granted various Orders, including: (i) an Order approving a sales and solicitation process which set out how Cleo's property would be marketed and sold in the NOI Proceedings; (ii) Orders approving the asset sale transactions to IHH Energy Corp., Nuova Strada Ventures Ltd., and Surge Energy Inc. on March 25, 2025; and (iii) Orders approving a further asset sale transactions to Nuova Strada Ventures Ltd. and Rise Energy SPV Ltd. on June 2, 2025.

6. It was Cleo's intention to sell the majority of its assets during the NOI Proceedings.

7. Due to the timing of the closing of the Court approved June 2, 2025 sale transactions, and the deemed bankruptcy date approaching under the NOI Proceedings, it was determined

it would be in the best interests of all parties for the Receiver to close the transactions in the Receivership Proceedings. On the application of Cleo's interim lender, uCapital-ULoan Solutions Inc., the Receivership Order was granted.

8. The assets that were not sold in the transactions approved in the NOI Proceedings include properties located in Taber, Neutral Hills – South, Enchant, Fabyan, Shorncliffe, Atlee, Hayter, Kessler and Greater Wainwright.

9. On November 14, 2025, the Court approved a reverse vesting order ("**Revised RVO**") for the shares of Cleo, which resulted in the sale of Cleo's remaining properties, and vested in ResidualCo certain Excluded Liabilities and Excluded Contracts (as defined in the Revised RVO).

10. The Revised RVO saw Cleo exit the Receivership Proceedings and have it replaced with ResidualCo.

11. On February 10, 2026, the Court approved a claims procedure order (the "**Claims Procedure Order**") to establish the quantum of: (i) pre-filing claims as at the Receivership Date that attach to the funds of ResidualCo; and (ii) other cure cost claims, excluding certain cure costs of the Alberta Crown, that attach to the purchase price funds (the "**Purchase Price Funds**") from the transaction ("**Cure Cost Claims**").

WEPPA

12. Upon the granting of the Receivership Order all employees of Cleo were terminated (the "**Former Employees**").

13. The Former Employees with the assistance of the Receiver applied for the Wage Earner Protection Program ("**WEPP**"). These Former Employees were provided payments in accordance with their entitlements under the WEPPA (the "**WEPP Payments**").

14. Prior to granting the Revised RVO, Employment and Social Development Canada ("**ESDC**") advised that any Former Employees who received the WEPP Payments might have the same clawed back as a result of the Revised RVO.

15. Following the granting of the Revised RVO, ESDC issued notices to the Former Employees requiring the immediate return of the WEPP Payments.

16. The relevant time of determination of employees' entitlements under WEPPA is the moment at which an insolvent entity's employees are terminated due to a bankruptcy or insolvency.

17. A clawback of the WEPP Payments following termination during the Receivership Proceedings due to the Revised RVO is unfair, improper and prejudicial to the Former Employees, and in contravention to the purposes of the WEPP.

18. The remedial nature of WEPPA is lost with the clawbacks.

Distributions

19. Pursuant to the Revised RVO, the Cure Cost Claims are entitled to be paid from the Purchase Price Funds, after payment of the Proven Alberta Crown Cure Costs, on a *pro rata* basis, subject only to the Receiver's Charge.

20. The Receiver, in consultation with Miller Thomson, has conducted a review of the Cure Cost Claims

21. The Receiver proposes to make a distribution to the Cure Cost Claimants as set out in the Fourth Report.

22. The Purchase Price Funds exceed the Cure Cost Claims and any remaining funds shall be transferred to the ResidualCo Funds.

23. The Receiver, in consultation with Miller Thomson, has conducted a review of the Secured Pre-Filing Claims to determine the priority of the respective Claimants with respect to the ResidualCo Funds.

24. The two creditors with statutory priority liens, being the AER and Municipalities, have negotiated a distribution amongst themselves wherein the parties shall receive a *pro-rata* distribution of all ResidualCo Funds remaining in the Receivership estate (the "**Settlement**").

25. The Receiver supports the distribution to the AER and Municipalities as set out in the Fourth Report and in accordance with the Settlement.

Approval of Actions, Activities and Conduct

26. The Receiver has acted diligently since its appointment and has undertaken those activities described in the Fourth Report, which actions are lawful, proper and consistent with the Receiver's powers and duties under the orders made in these proceedings.

27. The Receiver seeks approval of its actions, activities and conduct as set out in the Fourth Report.

28. The Receiver's actions, activities and conduct as detailed in the Fourth Report are appropriate and reasonable and should be approved.

Approval of Fees and Disbursements

29. The Receiver seeks approval of its professional fees and disbursements as well as those of its legal counsel, Miller Thomson, as set out in the Fourth Report.

30. Pursuant to the Receivership Order, the Receiver and its counsel shall be paid their reasonable fees and disbursements. The Receiver and its legal counsel shall pass their accounts from time to time.

31. The professional fees and disbursements of the Receiver (from December 20, 2025 to August 31, 2026) and its legal counsel, Miller Thomson (from January 5, 2026 to August 31, 2026), are fair and reasonable in the circumstances, commensurate with the work performed to date and should be approved.

32. The time spent was necessary and the work was delegated to the appropriate professional within each firm. The Receiver has reviewed the accounts rendered by Miller Thomson and confirms that all services described in the accounts were rendered to the Receiver.

33. The forecasted fees to and costs of the Receiver (the "**Forecast Fees and Costs**") and its counsel fees to complete this engagement (August 30, 2026, to discharge) are approximately $35,000 and $20,000 respectively, which includes fees and costs incurred from August 30, 2026 to the date of this Report, but not paid. It is appropriate to approve the work to be completed.

34. The Receiver further seeks approval of its Final Statement of Receipts and Disbursements detailing its receipts and disbursements to closing and the Final Cash Flow Forecast as set out in the Fourth Report.

Discharge of Receiver

35. The Receiver is seeking its discharge upon completion of certain administrative tasks, including the distributions if approved, as:

    (a) all Property of ResidualCo, to the extent possible, has been dealt with;

    (b) the Receiver has fulfilled its duties and obligations in accordance with the Receivership Order and Claims Procedure Order; and

    (c) the administration of the estate is substantially complete with only administrative matters to carry out.

36. Such further and other grounds as counsel may advise and this Honourable Court may permit.

**Material or evidence to be relied on:**

37. Brief of Law of the Receiver dated September 8, 2026.

38. The Fourth Report of the Receiver dated September 8, 2026.

39. The Receivership Order.

40. Such further and other materials as counsel may advise and this Honourable court may permit.

**Applicable rules**

41. The *Alberta Rules of Court*, Alta Reg. 124/2010.

42. *Bankruptcy and Insolvency General Rules*, CRC c 368.

43. Such other Rules as counsel may refer to or that this Honourable Court may permit.

**Applicable Acts and regulations:**

44. The *Bankruptcy and Insolvency Act,* RSC 1985, c. B-3, as amended.

45. The *Wage Earner Protection Program Act*, SC 2005, c 47, s1.

46. Such further and other Acts and Regulations as counsel may advise and this Honourable Court may permit.

**Any irregularity complained of or objection relied on:**

47. None.

**How the application is proposed to be heard or considered:**

48. On the Commercial List, via Webex before the Honourable Justice M. A. Marion.

**WARNING**

You are named as a respondent because you have made or are expected to make an adverse claim in respect of this originating application. If you do not come to Court either in person or by your lawyer, the Court may make an order declaring you and all persons claiming under you to be barred from taking any further proceedings against the applicant(s) and against all persons claiming under the applicant(s). You will be bound by any order the Court makes, or another order might be given or other proceedings taken which the applicant(s) is/are entitled to make without any further notice to you. If you want to take part in the application, you or your lawyer must attend in Court on the date and at the time shown at the beginning of this form. If you intend to give evidence in response to the application, you must reply by filing an affidavit or other evidence with the Court and serving a copy of that affidavit or other evidence on the applicant(s) a reasonable time before the application is to be heard or considered.

## SCHEDULE “A” - PROPOSED FORM OF ORDER

| | |
|---|---|
| COURT FILE NUMBER | 2501-09028 |
| COURT | COURT OF KING'S BENCH OF ALBERTA |
| JUDICIAL CENTRE | CALGARY |
| | IN THE MATTER OF THE *BANKRUPTCY AND INSOLVENCY ACT,* RSC, 1985, C B-, AS AMENDED |
| | AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD. |
| APPLICANT | UCAPITAL – ULOAN SOLUTIONS INC. |
| RESPONDENT | 2755857 ALBERTA LTD. |
| DOCUMENT | **ORDER FOR WEPPA DECLARATION, FINAL DISTRIBUTION, APPROVAL OF RECEIVER'S FEES AND DISBURSEMENTS, APPROVAL OF RECEIVER'S ACTIVITIES AND DISCHARGE OF RECEIVER** |
| ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT | MILLER THOMSON LLP<br>Barristers and Solicitors<br>525-8th Avenue SW, 43rd Floor<br>Calgary, AB, Canada T2P 1G1<br>Attention: James W. Reid / Pavin Takhar<br>Telephone: 403-298-2418 / 403-298-2432<br>Email: jwreid@millerthomson.com/ ptakhar@millerthomson.com<br>File No. 0289127.0002 |

**DATE ON WHICH ORDER WAS PRONOUNCED:** **SEPTEMBER 16, 2026**

**LOCATION WHERE ORDER WAS PRONOUNCED:** **CALGARY, ALBERTA**

**NAME OF JUSTICE WHO MADE THIS ORDER:** **THE HONOURABLE JUSTICE M. A. MARION**

**UPON THE APPLICATION** of Alvarez & Marsal Canada Inc. ("**A&M**"), in its capacity as Court-appointed receiver and manager (A&M in such capacity, the "**Receiver**") of 2755857 Alberta Ltd. (the "**Company**" or "**ResidualCo**") for an order: (i) confirming entitlements under the *Wage Earner Protection Program Act* (Canada) are set at the date of an employees termination; (ii) approving the distributions sought by the Receiver; (iii) approving and ratifying the actions, activities, and conduct of the Receiver; (iv) approving the fees and disbursements of the Receiver and its legal counsel; (v) approving the Receiver's Final Statement of Receipts and

Disbursements and Final Cash Flow Forecast; and (vi) discharging the Receiver from these Receivership Proceedings and terminating the same;

**AND UPON** reviewing the Fourth Report of the Receiver dated September 8, 2026 (the "**Fourth Report**") and the Brief of Law dated September 8, 2026,

**AND UPON** having read the Affidavit of Service of Marica Ceko sworn [●] (the "**Affidavit of Service**");

**AND UPON HEARING** the submissions of counsel for the Receiver, and such other counsel that appeared, if any;

**IT IS HEREBY ORDERED AND DECLARED THAT:**

**CAPITALIZED TERMS**

1. Capitalized terms not defined herein shall have the meaning given to them in the Fourth Report.

**SERVICE**

2. Service of notice of this application and supporting materials is hereby declared to be good and sufficient, no other person is required to have been served with notice of this application and this application is properly returnable today.

**DECLARTION OF WAGE EARNER PROTECTION PROGRAM ENTITLEMENT**

3. The Reverse Vesting Order granted November 14, 2025 (the "**Revised RVO**"), in the within proceedings does not impact any previously approved claims or payments made to former employees of Cleo Energy Corp. pursuant to the *Wage Earner Protection Program Act* (Canda) ("**WEPPA**").

4. A former Cleo Energy Corp. employee's entitlement under WEPPA is to be determined at the time of their termination pursuant to the receivership and the subsequent granting of the Revised RVO does not vary or change any employee's eligibility under WEPPA.

**APPROVAL OF ACTIVITIES, PROFESSIONAL FEES AND FINAL STATEMENT OF RECEIPTS AND DISBURSEMENTS**

5. The Receiver's accounts for its fees and disbursements, as set out in the Fourth Report, are hereby approved without the necessity of a formal assessment of its accounts.

6. The accounts of the Receiver's legal counsel, Miller Thomson LLP, for its fees and disbursements, as set out in the Fourth Report are hereby approved without the necessity of a formal assessment of its accounts.

7. The estimated professional fees and disbursements of the Receiver and Miller Thomson LLP, in the aggregate approximate amount of $55,000.00 to be incurred to complete the remaining activities in respect of these proceedings from and after August 30, 2026, respectively, are hereby approved and ratified without the necessity of a formal passing of accounts. The Receiver is hereby authorized and directed to pay such remaining fees and disbursements from the receivership estate as and when payable.

8. The Receiver's actions, activities, and conduct as disclosed and reported in the Fourth Report and all other Reports filed in the within receivership proceedings are hereby ratified and approved.

9. The Receiver's Final Statement of Receipts and Disbursements and Final Cash Flow Forecast as set out in the Fourth Report, are hereby ratified and approved.

**DISTRIBUTION**

10. The Receiver is authorized and directed to make the following distributions from the Purchase Price Funds:

    (a) $125,397 to the Cure Cost Claimants with valid Cure Costs Claims; and

    (b) $164,051 to the ResidualCo Funds bank account, for the benefit of the ResidualCo creditors.

11. The Receiver is authorized and directed to make a distribution to the AER and Municipalities in accordance with the Settlement as described in paragraph 63 of the Fourth Report.

**DISCHARGE OF RECEIVER**

12. On the evidence before the Court, the Receiver has satisfied its obligations under and pursuant to the terms of the Orders granted in the within proceedings up to and including the date hereof, and the Receiver shall not be liable for any act or omission on its part including, without limitation, any act or omission pertaining to the discharge of its duties in the within proceedings, save and except for any liability arising out of any in fraud, gross negligence or wilful misconduct on the part of the Receiver, or with leave of the Court. Subject to the foregoing, any claims against the Receiver in connection with the performance of its duties are hereby stayed, extinguished and forever barred.

13. No action or other proceedings shall be commenced against the Receiver in any way arising from or related to its capacity or conduct as Receiver, except with prior leave of this Court on Notice to the Receiver, and upon such terms as this Court may direct.

14. Upon the Receiver filing with the Clerk of the Court a discharge certificate substantially in the form attached hereto as Schedule “A”, confirming that:

    (a) all distributions contemplated pursuant to this Order have been completed;

    (b) the Receiver has paid all professional fees and disbursements; and

    (c) the Receiver’s final report pursuant to section 246 of the BIA has been filed,

    then the Receiver shall be discharged as Receiver of the Company, provided however, that notwithstanding its discharge herein (i) the Receiver shall remain Receiver for the performance of such incidental duties as may be required to complete the administration of the receivership herein, and (ii) the Receiver shall continue to have the benefit of the provisions of all Orders made in this proceeding, including all approvals, protections and stays of proceedings in favour of the Receiver in its capacity as Receiver.

**MISCELLANEOUS**

15. Service of this Order shall be deemed good and sufficient by:

    (a) Serving the same on:

        (i) the persons listed on the Service List created in these proceedings; and

(ii) any other parties attending or represented at the Application for this Order; and

(b) Posting a copy of this Order on the Receiver's website at https://www.alvarezandmarsal.com/CLEO.

8. Service of this Order may be effected by facsimile, electronic mail, personal delivery or courier. Service is deemed to be effected the next business day following transmission or delivery of this Order.

_____

Justice of the Court of King's Bench of Alberta

**SCHEDULE "A"**

**FORM OF RECEIVER'S DISCHARGE CERTIFICATE**

| | |
|---|---|
| COURT FILE NUMBER | 2501-09028 |
| COURT | COURT OF KING'S BENCH OF ALBERTA |
| JUDICIAL CENTRE | CALGARY |
| | IN THE MATTER OF THE *BANKRUPTCY AND INSOLVENCY ACT,* RSC, 1985, C B-, AS AMENDED |
| | AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD. |
| APPLICANT | UCAPITAL – ULOAN SOLUTIONS INC. |
| RESPONDENT | 2755857 ALBERTA LTD. |
| DOCUMENT | **CERTIFICATE OF DISCHARGE** |
| ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT | MILLER THOMSON LLP<br>Barristers and Solicitors<br>525-8th Avenue SW, 43rd Floor<br>Calgary, AB, Canada T2P 1G1<br><br>Attention: James W. Reid / Pavin Takhar<br>Telephone: 403-298-2418 / 403-298-2432<br>Email: jwreid@millerthomson.com/ ptakhar@millerthomson.com<br>File No. 0289127.0002 |

**RECITALS**

A. On June 2, 2025, upon the application of UCapital - ULoan Solutions Inc., Alvarez & Marsal Canada Inc. was appointed receiver and manager (the "**Receiver**") over all of the assets, undertakings and properties of CLEO Energy Corp. ("**Cleo**") pursuant to the Order of the Honourable Justice M. E. Burns.

B. Pursuant to an Order of the Court granted by the Honourable Justice M. H. Bourque on November 14, 2025, the Court approved a reverse vesting order substituting Cleo with 2755857 Alberta Ltd. in the within receivership proceedings.

C. Pursuant to an Order of the Court granted by the Honourable Justice M. A. Marion on September 16, 2026, the Court approved the discharge of the Receiver (the "**Discharge Order**"), subject to the Receiver filing a Certificate of Discharge certifying that it has completed those activities required to complete its administration of these receivership proceedings.

**THE RECEIVER CERTIFIES** the following:

1. The Receiver has completed all activities required to complete its administration of the receivership.

2. The Receiver has paid all professional fees and disbursements owing pursuant to the Receivership Order.

3. All remaining administrative matters contemplated by the Discharge Order have been completed.

4. This Certificate was delivered by the Receiver on the ____ day of _____, 2026.

**ALVAREZ & MARSAL CANADA INC.**, in its capacity as Court-Appointed Receiver and Manager of. 2755857 Alberta Ltd. and not in its personal or corporate capacity

Per: _____
Orest Konowalchuk, CPA, CA, CIRP, LIT
Senior Vice President